NY GEOTHERMAL ENERGY ORGANIZATION

VIA E-MAIL

June 2, 2021

Re: 19-G-0309/19-G-0310/18-M-0270 - NY-GEO support letter for the Joint Proposal

NY-GEO has signed on to the Joint Proposal (JP) in cases 19-G-0309/19-G-0310/18-M-0270

We have done so, but we need to start this letter by expressing our belief and grave concern that, relative to gas utilities, New York State is NOT currently on track to adequately contribute to meeting the Climate Leadership and Community Protection Act (CLCPA) legal mandates to reduce carbon emissions by 40% by 2030 and 85% by 2050. Fossil gas is currently the largest contributor to New York's greenhouse gas emissions. State policy over decades has created momentum behind gas use and expansion that can be compared to the momentum of an aircraft carrier. The climate crisis has created a shoreline that looms too close for that momentum to be stopped for a crash to be avoided.

We need all hands on deck to apply full brake and steering power to minimize the impact of this crash. This includes New York's citizens, its civic organizations, its utilities, its executive and legislative branches of government, and its Public Service Commission. Rate cases such as this one take place within the context of policy and practice from the above institutions that has largely supported gas use and expansion. This context is starting to be turned around in some ways, but too slowly to allow adequate progress in rate cases such as this in relation to the CLCPA.

That being said, NY-GEO believes that rate cases are an important real-world forum for making change. It is here, as well as other Commission proceedings, where the "rubber hits the road" and changes of various sizes are actually implemented. As such, we have worked with other parties in this case, including the companies and staff, to negotiate important changes that can be built upon and have signed on to the Joint Proposal in order assure acceptance and implementation of those changes.

These include:

Explicitly Stating Billed Usage Reduction Targets, Albeit Reductions of Forecasted Increases:

The terms of this rate case fall far short of the reductions in billed gas usage that need to start as part of meeting the 40% reduction in GHGs by 2030. However, the settlement does include explicit billed gas usage numbers that can be monitored over the rate period and built upon in future years, as well as a company commitment to target a reduction of forecasted increases during the rate period.

> *…the Companies will endeavor to achieve weather-adjusted reductions of one half of one percent in billed gas usage as compared to the currently forecast levels of non-generator gas use in Rate Years Two and Three. The forecast levels are 1,249 million therms for KEDLI and 1,699 million therms for KEDNY in Rate Year Two and 1,295 million therms for KEDLI and 1,726 million therms for KEDNY in Rate Year Three. As set forth in this Joint Proposal, the Companies will pursue incremental efficiency programs, demand response, non-gas NPA projects, geothermal/electrification, and other initiatives intended to achieve target reductions*. Page 75 section 7.5

In addition, the companies will report on their billed gas usage performance in a frequent enough timeframe to provide useful monitoring of that performance.

> *The Companies will report on their progress against these gas usage reduction goals in their semi-annual non-infrastructure filings. Before the end of Rate Year Three, the Companies will file a report that assesses the energy efficiency and other non infrastructure programs necessary to achieve climate appropriate reductions in billed gas usage in future years.* Page 75 section 7.5

Reporting the Cost of the 100-Foot Subsidy:
The 100-Foot Rule provides free infrastructure to new gas customers and clearly tilts the market playing field against alternatives such as ground and air source heat pumps.

> *The Companies will file a report with the Secretary to the Commission, within nine months of the issuance of a Commission order adopting the terms of this Joint Proposal, regarding the cost of facilities (e.g., main and service lines for connecting customers) provided to new customers pursuant the Commission's regulations and Companies' tariffs and how all or a portion of those costs could be used to provide applicants with an incentive to select electric thermal options (e.g., heat pumps) rather than gas service. Such incentive would be in addition to federal and state incentives. The report could form the basis for a petition by any interested party to implement such a program, or could be utilized to discuss such a program in the next rate proceedings for the Companies.* Page 83 – section 7.57

Cutting Gas Promotion:

> *The Companies have terminated all gas promotional and rebate programs and will not implement any such plans during the term of the rate plans, including any heating oil-to-gas conversion programs, involving both firm and non-firm customers…*

The Companies have ceased all marketing for new gas connections and conversions, including any customer rebates for heating oil-to-gas conversions for new gas customers, and will not resume gas marketing for the term of the rate plans. Within six months of the issuance of a Commission order adopting the terms of this Joint Proposal, the Companies will modify their website, customer mailings, emails, and marketing materials to remove any reference to gas conversion promotional or rebate programs. Pages 75-76 – section 7.5.1 -

Highlighting Alternate Heating Options:

The Companies commit to developing educational materials, in coordination with their energy efficiency and demand response programs, that will inform customers of alternative heating options, including air- and ground-source heat pumps and district geothermal heating systems. The Companies will also add these options to any materials showing the comparative advantages of one fuel choice or option over another, highlighting federal and state incentives. The Companies will work to promote programs supporting electrification with NYC, PSEG-LI/LIPA, and Con Edison…The Companies will also provide prospective customers with information on organizations and initiatives providing alternate heating options (e.g., heat pumps) in their service territories. Page 76 – section 7.5.2

Seeking Non-Pipe Alternatives for Gas Infrastructure Projects:

Where possible, the Companies will make evaluations of possible Non-Pipe Alternatives ("NPAs") a standard item before proceeding with the construction of new or replacement gas transmission and distribution infrastructure. Page 40 – section 5.1

The Companies will identify instances where planned LPP replacement projects could be avoided by deploying shared geothermal loops or individual ground- or air-source heat pumps to serve affected customers. Page 79 – section 7.5.5 b.

Placing Conditions on Gas Expansion Cost Recovery That Include Referrals for Electrification and Identifying Leak Prone Pipe (LPP) Abandonment Opportunities:

The Companies' ability to fully recover the costs of the Long-Term Capital Capacity Projects during the term of the rate plans is conditioned on the Companies' ability to meet or exceed Capacity Demand Metrics as defined below.

… a minimum number of customers will be referred annually to Con Edison and PSEGLI/ LIPA to determine if the customers are interested in electrification. Within 60 days of the issuance of a Commission order adopting the terms of this Joint Proposal, the Companies will meet with Staff and other interested parties to develop referral materials, including any associated customer service scripts. Page 49 – Section 5.3.2 (iv)

Beginning in Rate Year Two, the Companies will annually identify at least five segments of LPP in each of the Companies' service territories that could be

abandoned if all customers' natural gas loads are met with cost effective NPAs that would allow the section of LPP to be abandoned. For Page 49 – Section 5.3.2 (iv)

Including the Depreciation Study:

…the Companies will complete and file, at least three months before their next base rate filings, a study on the potential depreciation impacts of climate change policies and laws – including the CLCPA and Local Law 97 – and the statewide GHG emission limits established therein – on their gas assets. The study will include an examination of the potential impacts of climate change policies and laws on average service lives, reserve deficiency/surplus, salvage value, cost of removal, depreciation rates, and customer bills, and an assessment of the appropriate survivor curve to help inform the Companies' next base rate filings. Page 79 – section 7.5.4

Creating an On-line Fuel Switching Calculator:

The Companies will implement their proposed Online Fuel Switching Calculator in Rate Year Two. Page 74 – section 7.4

Beginning to Define a Glide Path Toward CLCPA Goals:

We urgently need to begin consideration of glide paths showing the way to meeting CLCPA emission reduction goals that include specific, annual targets for reductions.

Prior to their next base rate filings, but in no event later than the end of Rate Year Three, the Companies will complete a report (the "CLCPA Study") that evaluates how the Companies' businesses may evolve in the future to support the emission reduction and renewable energy goals of the CLCPA, NYC's Local Law 97, and any emission reduction goals the Companies have independently adopted…The ***analysis will include an assessment of potential CO2e reductions per year, MMBTU reductions in billed annual usage, and the numbers of customers heating with gas in residential, commercial and industrial classes per year under different scenarios*** *Page 77 – section 7.5****.***

NY-GEO believes the sum total of the advances listed above justifies signing on to this agreement. However, our opening statement to this letter remains top of mind. This Joint Proposal accomplishes many worthwhile things and sets up future positive development. It however does not put us on track to meet the urgent climate mandates of the CLCPA. We recommend the following to accompany Commission acceptance of the Joint Proposal:

- The Commission to develop a recommendation to the Legislature to quickly wind down the 100-Foot Rule as a gas subsidy and perhaps replace it with a renewable heat subsidy. In addition, the Commission to repeal regulatory additions it has made that extend past the letter of the law that created the 100-Foot Subsidy.
- The Commission to develop a recommendation to the Legislature to quickly wind down the obligation to serve language in the Public Service Law as it pertains solely to fossil gas. Gas utilities need clear guidance on their future role in the context of the need to substantially and quickly reduce GHG emissions. Will their

role be expanded to include renewable heat sources such as ground loops and how will they begin decapitalizing gas assets that will become stranded as gas use is substantially reduced?

- The Commission to require each rate case to result in the creation or updating of a glide path to reach CLCPA goals that includes verifiable projections of CO2e reductions per year, MMBTU reductions in billed annual fossil gas usage, and reductions the numbers of customers heating with gas in residential, commercial and industrial classes.
- The Legislature and Governor to take action to resolve the above issues through appropriate legislation
- The Climate Action Council (CAC) and the Governor to make clear that the CAC's upcoming scoping plan is NOT an excuse for inaction. Too often initiatives for reducing carbon are rejected in policy circles and in rate cases by citing the need to wait for the CAC's recommendations. The Council needs to communicate the importance of stopping fossil gas expansion and reducing gas use wherever possible. The Council also needs to lay out reasonable expectations for limits on the degree to which hydrogen and renewable natural gas can be expected to substitute for fossil gas. This is key guidance needed to inform the degree to which gas infrastructure is likely to become a stranded asset.

For the steps above that would be taken by the Commission, NY-GEO expected to see these points included in the white papers developed for the Gas Planning Proceeding. We request the Commission to order these issues to be included in that proceeding and worked through in that context.

Sincerely,



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The New York Geothermal Energy Organization (NY-GEO**)** is a non-profit trade association representing geothermal heat pump (GHP) installers, manufacturers, distributors, drillers, consultants and industry stakeholders from throughout New York State and beyond.